estimation with inadequate data .

The gross measure is devoid of these difficulties to some extent and comparable as all countries measure value addition on gross basis and they are generally considered more comparable between countries. So, GDP is broadly used even if it is economically inferior to NDP, on a conceptual basis. However, NDP should also be calculated, with improved estimates of consumption of fixed capital when necessary, in order to provide a significant tool for various types of analysis.

Income Method

3. Gross National Income (GNI)

Gross national income (GNI) is the aggregate value of the gross balances of primary incomes of all resident institutional units. **It is an income measure.**

Primary incomes are incomes that accrue to institutional units as a consequence of their involvement in processes of production or ownership of assets that may be needed for purposes of production.

A major item of primary income is compensation of employees that represents the income accruing to individuals in return for their labour input into production processes. Primary incomes that accrue by lending or renting financial or natural resources, including land, to other units for use in production is called **property income**. As these two components are earned by factors of production namely labour and entrepreneur they are also called **factor income**. Receipts from taxes on production and imports (less subsidies on production and imports) are treated as primary incomes of governments.

Primary incomes do not include the payments of social contributions to social insurance schemes and the receipt of benefits from them, current taxes on income, wealth, etc. and other current transfers. In short it does not include the current transfers. Current transfers are explained later.